

As noted above, the Arbitration Agreement is governed by the FAA. Under the FAA, if the Court determines that the matter be referred to arbitration, the Court “shall on application of one of the parties stay the trial of the action until such arbitration has been had in accordance with the terms of the agreement....” (9 USC § 3.) When the FAA applies, so does “section 3 which requires the court to stay the judicial proceeding and compel arbitration.” (*Rodriguez v. American Technologies, Inc.* (2006) 136 Cal.App.4th 1110, 1122.)

“Here, as in other contexts, the use of the word ‘shall’ ‘creates an obligation impervious to judicial discretion.’” (*Smith v. Spizzirri* (2024) 601 U.S. 472, 476 quoting *Lexecon Inc. v. Milberg Weiss Bershad Hynes & Lerach* (1998) 523 U.S. 26, 35.) “That plain statutory text requires a court to stay the proceedings.” (*Ibid.*) “When § 3 says that a court ‘shall ... stay’ the proceeding, the court must do so.” (*Ibid.*) The FAA “does not authorize courts to stay arbitration pending resolution of litigation, or to refuse to enforce a valid arbitration provision to avoid duplicative proceedings or conflicting rulings.” (*Mastick v. TD Ameritrade, Inc.* (209 Cal.App.4th 1258, 1263.)

As the Court has found that Future Ford’s motion to compel is to be granted, it must and will stay the proceedings in full until the arbitration has concluded.

Conclusion

Defendant Future Ford has met its burden to show that there is an enforceable arbitration agreement. Plaintiffs have failed to demonstrate that Future Ford is precluded from enforcing the Arbitration Agreement, or that it is unconscionable.

As such, Future Ford’s motion to compel arbitration is **GRANTED**. The request to stay the matter is also **GRANTED**. This matter is stayed in full pending resolution of the arbitration.

10. 9:00 AM CASE NUMBER: C25-02784
CASE NAME: PETITION OF: GRANGE INSURANCE ASSOCIATION
HEARING IN RE: PETITION TO PERPETUATE TESTIMONY AND PRESERVE EVIDENCE
FILED BY:
TENTATIVE RULING:

Petitioner Grange Insurance Association (“Petitioner”) filed a Verified Petition to Perpetuate Testimony and Preserve Evidence on September 25, 2025 (the “Petition”). The matter was set for hearing on February 2, 2026.

The Court published its tentative ruling for the February 2, 2026 hearing date expressing concerns about the merits of the motion. In any event, the Court did not decide the merits as there was no showing of proper service. The Court continued the hearing to March 16, 2026 and ordered Petitioner to give notice.

Background

Petitioner seeks an order pursuant to California Code of Civil Procedure sections 2035.010 *et seq.* authorizing “pre-litigation discovery by taking oral depositions and/or preserving evidence for the purpose of perpetuating testimony relevant to an anticipated action involving Respondent Cynthia Gomez.” Petition, p. 1.

Petitioner contends that it is “currently unable to bring or cause the anticipated action to be brought because Respondent has served a demand for arbitration on the Petitioner and a complaint has not yet been filed.” Petition, p. 3.

Analysis

Code of Civil Procedure section 2035.010 provides that one “who expects to be a party or expects a successor in interest to be a party to an action that may be cognizable in a court of the state” may obtain discovery for the purpose of perpetuating that person’s own testimony or that of another natural person or organization, or of preserving evidence for use in the event an action is subsequently filed. Code Civ. Proc. § 2035.010. The methods permissible for such discovery are enumerated in Code of Civil Procedure section 2035.020. *Id.* at § 2035.020. Code of Civil Procedure section 2035.010 and the related statutes are referred to herein as the “Preservation of Evidence Statutes.”

The Preservation of Evidence Statutes require the filing of a verified petition in the “superior court of the county of the residence of at least one expected adverse party, or, if no expected adverse party is a resident of the State of California, in the superior court of a county where the action or proceeding may be filed.” Code Civ. Proc. § 2035.030. The statutes prescribe the matters to be set forth in the verified petition, including:

- (1) The expectation that the petitioner or the petitioner’s successor in interest will be a party to an action cognizable in a court of the State of California.
- (2) The present inability of the petitioner and, if applicable, the petitioner’s successor in interest either to bring that action or to cause it to be brought.
- (3) The subject matter of the expected action and the petitioner’s involvement. A copy of any written instrument the validity or construction of which may be called into question, or which is connected with the subject matter of the proposed discovery, shall be attached to the petition.
- (4) The particular discovery methods described in Section 2035.020 that the petitioner desires to employ.
- (5) The facts that the petitioner desires to establish by the proposed discovery.
- (6) The reasons for desiring to perpetuate or preserve these facts before an action has been filed.
- (7) The name or a description of those whom the petitioner expects to be adverse parties so far as known.
- (8) The name and address of those from whom the discovery is to be sought.
- (9) The substance of the information expected to be elicited from each of those from whom discovery is being sought.

Code Civ. Proc. § 2035.030(b)(1)-(9).

If a court determines that all or part of the discovery requested under the Preservation of Evidence Statutes may prevent a failure or delay of justice, the court shall make an order authorizing that discovery. Code Civ. Proc. § 2035.050(a). The order shall identify any witness whose deposition may be taken, and any documents, things, or places that may be inspected, and any person whose physical or mental condition may be examined. *Id.* at § 2035.050(b).

Service

A petitioner is required to “...cause service of a notice of the petition under Section 2035.030 to be made on each natural person or organization named in the petition as an expected adverse party.” Code Civ. Proc. § 2035.040. **This service shall be made in the same manner provided for the service of a summons. *Id.***

Service must be effected at least 20 days prior to the date specified in the notice for the hearing on the petition. Code Civ. Proc. § 2035.040(c).

Since the last hearing date, Plaintiff filed a Notice of Hearing on February 6, 2026. That notice includes a Proof of Service reflecting service of the notice and the attached copy of the Court’s Minute Order with the prior tentative ruling. That service was done via electronic service on an attorney, Asher Hoffman.

In the absence of an express agreement to accept service of process, electronic service on a party’s attorney is not service “in the same manner provided for the service of a summons.” Code Civ. Proc. § 2035.040. Petitioner has not shown such an agreement. Nor has Petitioner shown service done in any manner prescribed for service of a summons. See Code Civ. Proc. § 415.10 *et seq.*

For this reason alone, the Court would deny the motion.

Merits

Even if service had been properly done, the Court would deny the motion.

As discussed in the prior tentative ruling, Petitioner has not demonstrated that Petitioner is entitled to resort to the Preservation of Evidence Statutes where the matter in dispute is subject to arbitration, as Petitioner appears to concede. In such instance, arguably it cannot be said that there is an expectation that the petitioner will be a party to an action cognizable in a court of the State of California. While the Court is not aware of any California authorities on point, other courts have so held. See e.g. *In re Schumacher* (La. Ct. App., 4th Cir. 1980) 389 So. 2d 881, 882 (trial court erred in granting appellee’s petition to perpetuate testimony because “[a]ppellee is bound to the arbitration provision of his agreement and is therefore unable to bring an action ‘cognizable in any court of this state’”).

Moreover, the present Petition does not attach any governing arbitration agreement or otherwise address the extent to which discovery may be available in the arbitration forum. If the arbitration forum provides for discovery or discovery-like mechanisms, it is not clear to the Court that resort to the Preservation of Evidence Statutes is necessary to prevent a failure or delay of justice. At the very least, Petitioner has failed to make such showing.

The Court’s prior order also gave Petitioner an opportunity to further address the merits. See Minute Order dated February 3, 2026 (“Counsel may file a supplemental paper regarding the need for the petition.”). Petitioner did not file anything further.

Disposition

The Court finds and rules as follows:

1. The Petition is DENIED.
2. The Court shall issue the order after hearing.